

Demo-portfolio formation

Portfolio formation—individual factors (See S4)

- Data:
 - Quarterly factors constructed in S3: demo_factors.sas7bdat
- Form portfolios using individual factors (e.g., momentum):
 - Portfolio restriction: exclude stocks with price less than \$5 at time of stock ranking (portfolio formation)
 - Adjust the sign of the variables so that they have positive relation with stock returns.
 - Form equal-weighted decile portfolios based on the each sign-adj. signal; hold the portfolio for 1 calendar quarter

Portfolio formation—multiple factors (See S4)

- Data:
 - Quarterly factors constructed in S3: demo_factors.sas7bdat
- Form portfolios using two factors (e.g., size and momentum):
 - Portfolio restriction: exclude stocks with price less than \$5 at time of stock ranking (portfolio formation)
 - Adjust the sign of the variables so that they have positive relation with stock returns.
 - Rank stocks by each sign-adjusted signal into percentiles
 - Take the average of the above percentile ranks across variables in the same category, i.e., “category combo”
 - Also take the average across the all category combos to form an “overall combo” variable, and form decile portfolios based on the overall combo

Hw4

- Data:
 - Quarterly factors constructed in S3: demo_factors.sas7bdat
- Form portfolios using THREE factors (momentum + size and illiquidity):
 - Portfolio restriction: exclude stocks with price less than \$5 at time of stock ranking (portfolio formation)
 - Adjust the sign of the variables so that they have positive relation with stock returns.
 - Rank stocks by each sign-adjusted signal into percentiles
 - Take the average of the above percentile ranks across variables in the same category, i.e., “category combo”
 - Also take the average across the all category combos to form an “overall combo” variable, and form decile portfolios based on the overall combo